Second, there are numerous programmes and schemes operated by the Government of India which support production of private goods and services in the private sector. Such programmes include the provision of inputs to agriculture and animal husbandry sectors and cheaper credit to MSMEs and private enterprises. These have led to the perpetuation of inefficiencies in private enterprises and loss of competitiveness in agriculture and industry of India. Such expenditures also need to be thoroughly reviewed and streamlined.

Third, redistribution programmes need to be reviewed for being better designed and targeted. This should lead to a major overhaul of the hundreds of redistribution programmes currently run by the government. The redistribution schemes which do not target and reach the three classes of deserving poor people: the poorest of the poor/destitute, the economically poor and the vulnerable poor should be discontinued and those that reach these sections should be appropriately redesigned, focused and delivered.

Fourth, the government has not been spending enough on public goods and services like control of pollution and provision of primary health services. These needs should be properly identified and appropriate schemes for delivering an adequate level of these services need to be better designed, started and expanded.

Fifth, expenditure on personnel hired to implement public expenditure programmes has acquired a character of redistribution rather than being a fair compensation of services rendered by them. No wonder such expenditures have become very large. These expenditures require careful scrutiny and management.

Roll Back the Public Sector and Stop Funding from Budgets

India’s public expenditure objectives, structure and mode of implementation are steeped in the socialist era. In a period of about forty years (1947–1990) lasting until serious industrial, financial and trade reforms were initiated in